One reasonable compromise between protecting the poor and ensuring they have access is to allow only unsecured or collateral-free loans to qualify for priority sector treatment or interest subventions, but to also allow institutions to take collateral if offered on ordinary loans, provided they have a policy of charging lower rates on such secured loans. While this may force some who have collateral to pledge it even if they do not have to do so under current regulations (albeit with some compensation in terms of a lower borrowing rate), it mitigates the greater evil of those who have collateral to offer being denied credit altogether. This is certainly an issue we have to reflect on.

FLEXIBILITY AND FORGIVENESS

When people complain about the high cost of credit to small businesses, they do not realize the biggest component of interest costs is the credit risk margin, not the real policy rate. The credit risk margin is not under the control of the central bank, it has to be brought down by focusing on improving the lending institutional infrastructure, as I have argued earlier. However, even though a system that allows for strong enforcement of repayment reduces the credit risk margin lenders charge, it also imposes larger costs on unfortunate borrowers. So, for example, should a student who chose the wrong college for studies and ended up having to pay back huge loans with only a mediocre job be penalized for life? We need a system that has some flexibility in repayment, so that those who make bad choices or have bad luck can get some relief. At the same time, they should not escape all responsibility, else we will see people borrowing excessively and misusing the proceeds, knowing they can get away scot-free.

Keeping this in mind, our master circular on natural calamities allows banks to restructure agricultural loans without classifying them NPA, provided there are widespread crop losses in the local area. This